

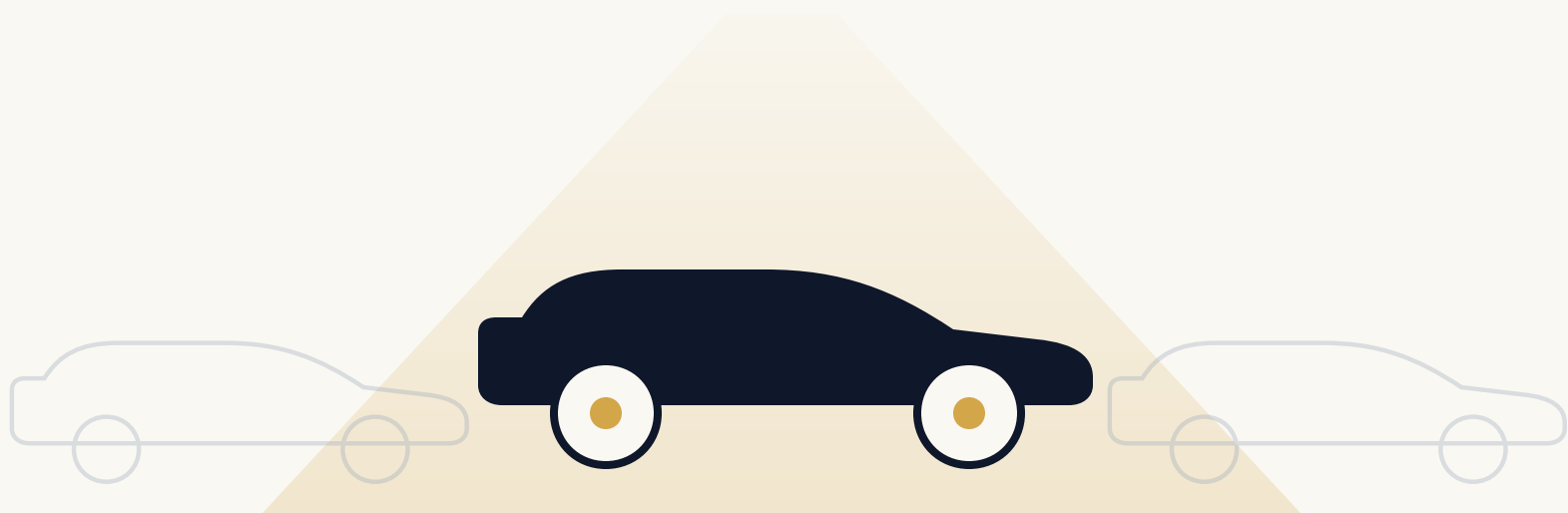


ECONOMICS IN 60 SECONDS

Issue #001

The Market for Lemons

Why the finest used car on the lot is so often the one that never sells, and how a single Nobel idea explains it.



TIMELESS IDEAS. EVERYDAY IMPACT.

A FAMILIAR MARKET

The best car on the lot
is often the one that
never sells.

Two cars sit side by side. One is sound. One hides a fault. To the buyer, they look identical. Only the seller knows the difference.



A SOUND CAR



A HIDDEN FAULT

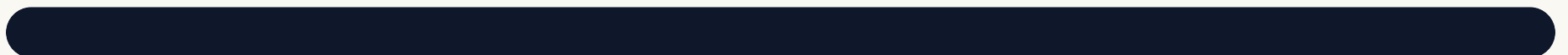
THE CORE IDEA

Information asymmetry

In many deals, one side simply knows more than the other.
That imbalance, not greed, is what quietly distorts the market.

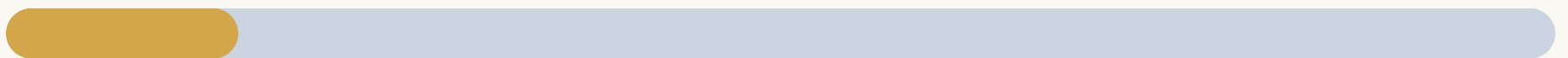
The Seller

knows the truth



The Buyer

is mostly in the dark



A DOWNWARD SPIRAL

How a good market quietly collapses

- 
- 1 Buyers pay only an average price**
They cannot tell a sound car from a faulty one
 - 2 Owners of good cars walk away**
A sound car is worth more than the offer
 - 3 Average quality falls**
So the fair price drops with it
 - 4 Quality sinks lower each turn**
Until the good cars are gone for good

BAD DRIVES OUT GOOD

The good cars leave, one by one



George Akerlof, "The Market for 'Lemons'," 1970. Nobel Prize, 2001.

IT IS EVERYWHERE

Once you see it,
you cannot unsee it



Insurance

The people most likely to claim are the keenest to buy cover.



Lending

The riskiest borrowers often want the loan the most.



Hiring

A candidate knows their work ethic. You do not, not yet.



Marketplaces

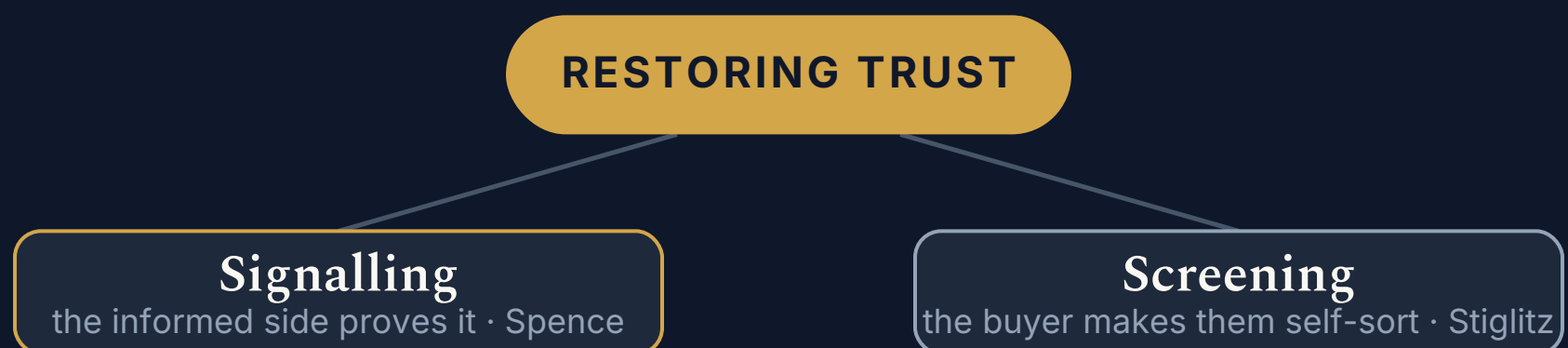
A thousand listings, and you cannot touch a single one.

This is also why your degree exists



A qualification is partly a marker that is costly to earn and hard to fake.
Education teaches. It also signals. Both are true at once.

Markets do not only need goods and buyers. They need a way to **trust** that each is what it claims to be.





Where have you watched information asymmetry quietly shape a decision, at work, in a purchase, or in a classroom?

Share one example in the comments. The sharpest one becomes the next issue.



ARJUN AGRAWAL

KNOWLEDGE. INSIGHT. IMPACT.

ECONOMICS IN 60 SECONDS

Timeless ideas. Everyday impact.

FOLLOW FOR ONE IDEA, EVERY WEEK →

Next issue, #002 · Comparative Advantage

Associate DP Coordinator · Visiting Faculty, Fergusson College · UPSC Economics Mentor

